

NETFLIX, INC.

(NASDAQ: NFLX)

A superb business priced as an unstoppable compounder — the engagement data says otherwise

SELL — \$48.00 Target

Equity Research Note · Communication Services — Entertainment / Streaming · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$48.00	\$67.06	-28.4%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$279 bn (4.16 bn sh × \$67.06)	2025 revenue	\$45.2 bn
52-week range	~\$65 – \$125	Content assets on balance sheet	~\$33.8 bn
Price / fair value	\$67.06 / \$48.00	Normalized 2026 free cash flow	~\$10.3 bn (excludes \$2.8 bn one-time WBD fee)
Implied downside	–28%	Ad-supported tier	Launched late 2022; scaling, lower ARPU
Paid memberships	300 mn+ across 190+ countries	Next catalyst	Q3 2026 print; ad-tier ARPU and engagement disclosures

1 Investment Thesis

Netflix is a superb operating business selling at a price that assumes it is an unstoppable compounding machine. With more than 300 million paid memberships, global scale, and genuine free-cash-flow generation, the company has earned its place as the winner of the streaming wars. The problem is not the business. The problem is what the share price demands the business must still become: at \$67.06, the market is paying for a decade of uninterrupted, high-margin growth that the engagement data no longer supports.

The decisive fact is the divergence between content spending and engagement. View hours grew only about 2% in the first half of 2026 while the content budget keeps rising. Each marginal dollar of content is buying less viewing — the signature of a mature platform, not a growth compounder. The paid-sharing lift from the password-sharing crackdown, which powered the last leg of subscriber growth, was a one-time step-up in the paying base, not a repeatable engine. With engagement flat, the company has leaned on repeated price increases to drive revenue, and price hikes on flat engagement face hard limits: churn and piracy.

Earnings quality deserves equal skepticism. Netflix carries roughly \$33.8 billion of content assets on amortization schedules that are inherently judgmental — management decides, within wide latitude, how fast capitalized content costs flow through the income statement. Reported margins are therefore softer than they appear. Free cash flow tells a cleaner story, but 2026 cash flow is flattered by a one-time \$2.8 billion Warner Bros. Discovery termination fee that does not recur; normalized free cash flow is about \$10.3 billion, a materially lower base from which the market's growth expectations must be met.

Our probability-weighted fair value is \$48.00, 28% below the current price. The asymmetry is stark: even our bull case, at \$78.79, barely clears today's price, while our bear case sits at \$20.14. When the entire plausible upside is a few percent and the downside is measured in halves, the correct posture is to sell. The forward judgment is that Netflix is entering a structurally slower phase — developed-market saturation, lower-ARPU net adds, ad-tier cannibalization of

full-price plans, and a content-cost treadmill that only steepens — and the market has not yet priced any of it. A mature, cash-generative media utility is a fine business to own at a utility-like multiple, which \$67.06 is not. SELL.

Why the market will care (eventually)

- **The marginal content dollar is broken.** View hours up ~2% in H1 2026 against a rising content budget is the single most important data point in the note. When spending no longer reliably converts into viewing, the era of outspending competitors into submission is ending — and with it the growth-multiple justification.
- **The pricing-power engine is running on fumes.** Revenue growth is increasingly manufactured by price increases on flat engagement. Each hike raises churn risk and pushes marginal viewers toward piracy or free alternatives — YouTube and TikTok acquire their content effectively for free.
- **The \$33.8 billion judgment call.** Capitalized content on management's amortization schedules means reported margins are softer than they appear. Faster write-downs would reveal lower true margins; the balance sheet carries the risk that the P&L does not show.

2 Business Overview — What Netflix Is Doing

(Los Gatos, California; CEO Ted Sarandos and Greg Peters (co-CEOs))

Netflix is the world's largest subscription video streaming service, operating in more than 190 countries with a content library spanning licensed programming and a large and growing slate of original films and series. Revenue comes primarily from monthly membership fees across ad-free tiers, supplemented by a lower-priced advertising-supported tier launched in late 2022 and a nascent games initiative.

The company's moat rests on scale: a global subscriber base amortizes content costs that regional competitors cannot match, and its recommendation and personalization systems benefit from the largest viewing dataset in the industry. The ad-supported tier adds a second revenue stream with structurally higher incremental margins, since advertising revenue requires no additional content spend.

Competition for attention is broader than the traditional streaming set. YouTube, TikTok, and gaming compete for the same leisure hours, and several of these competitors acquire their content effectively for free through user generation. Netflix must pay cash for every hour it hopes its subscribers will watch.

What the company is doing now

- **Scale as the moat.** 300 million-plus memberships amortize a content budget no regional rival can match; the viewing dataset compounds the recommendation advantage every quarter.
- **The ad tier: second engine, lower ARPU.** The advertising-supported tier scales with structurally higher incremental margins but dilutes blended ARPU and is cyclically exposed — brand budgets are cut early in downturns.
- **Paid sharing was a step-up, not an engine.** The password-sharing crackdown converted borrowers into payers once. There is no second crackdown to run; future net adds skew to lower-ARPU regions and the ad tier.
- **Sports, live, gaming: same economics.** Logical adjacencies, but each demands large upfront cash for uncertain engagement returns — the same treadmill, steeper.

3 Financial Analysis

\$bn	2022	2023	2024	2025
Revenue	31.6	33.7	39.0	45.2
YoY growth	—	+6.6%	+15.7%	+15.9%
Operating cash flow	2.0	7.3	7.4	10.2

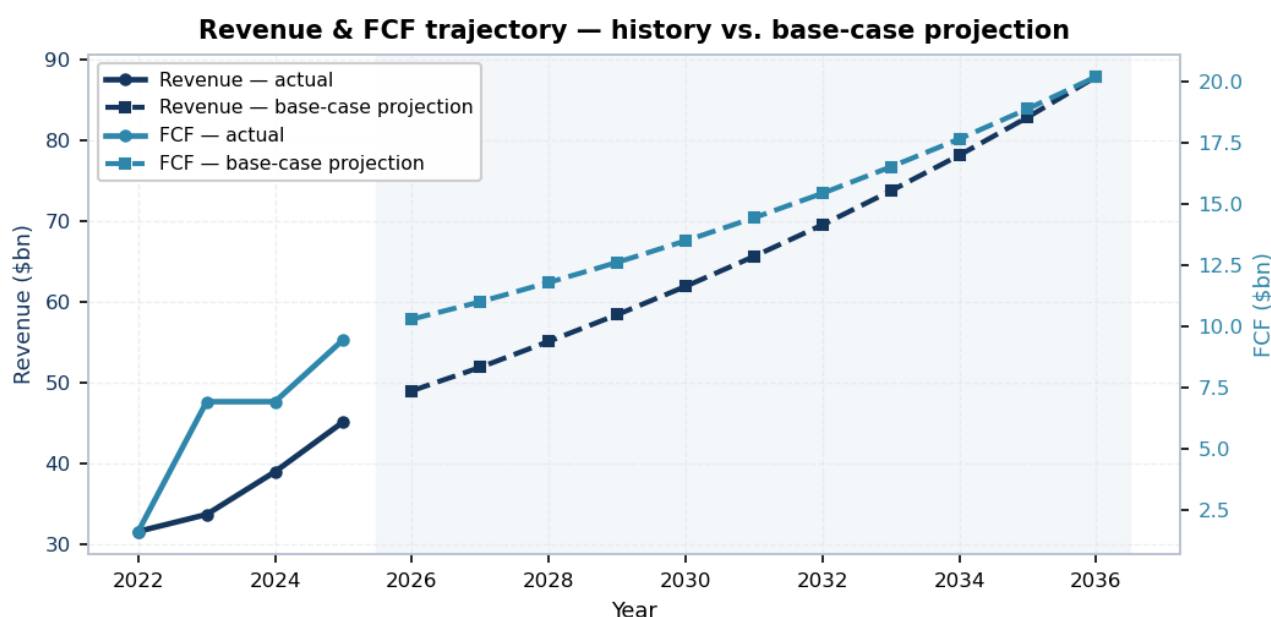
\$bn	2022	2023	2024	2025
Free cash flow (OCF – capex)	1.6	6.9	6.9	9.5
FCF margin	5.1%	20.5%	17.7%	20.9%
Net income	4.5	5.4	8.7	11.0

Company filings via Yahoo Finance. 2026 FCF is normalized to ~\$10.3 bn excluding the one-time \$2.8 bn Warner Bros. Discovery termination fee.

Revenue grew from \$31.6 billion in 2022 to \$45.2 billion in 2025, but the composition of growth has deteriorated: engagement is flat while price increases do the work. Free cash flow (operating cash flow less capex) ran \$1.6 billion in 2022, \$6.9 billion in 2023 and 2024, and \$9.5 billion in 2025 — a genuine inflection, but 2026's headline number is flattered by the one-time \$2.8 billion Warner Bros. Discovery termination fee. We normalize 2026 free cash flow to \$10.3 billion and value the business off that base, not the reported figure.

The balance sheet carries the \$33.8 billion content asset — capitalized production costs amortized on management's schedules. This is the softest number in large-cap media: within wide latitude, management decides how fast the costs hit the P&L. Our valuation deliberately uses cash flow, not reported earnings, and the terminal value is computed on a normalized 23% free-cash-flow margin — deliberately not peak margins. The bear case (\$20.14) assumes revenue growth stalls near 3%, engagement declines as price hikes drive churn and piracy, and FCF margins compress to the mid-teens at a 12.5% discount rate.

Revenue & cash-flow trajectory

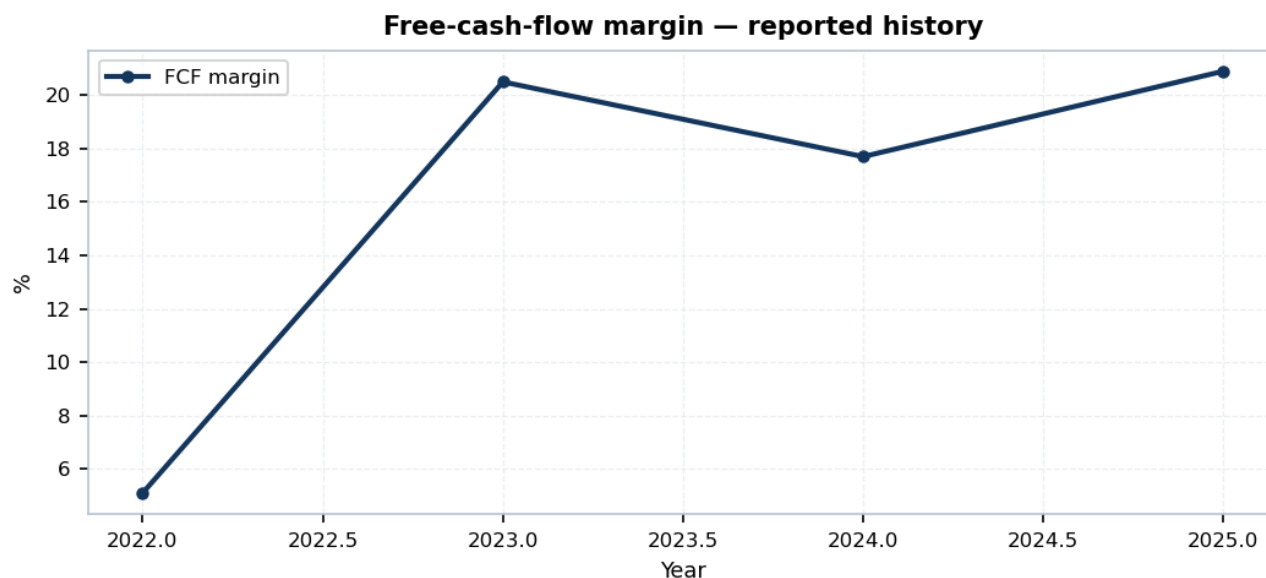


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projection: base-case path — revenue at 6.0% CAGR from 2026E \$49.0B; FCF from the normalized \$10.3B base with margins gliding 21% to the normalized 23%.

4 Moat & Competition

- **Global scale amortizes content.** A 300-million-member base spreads production costs no regional competitor can match — the structural reason Netflix won the streaming wars.
- **The data flywheel.** The largest viewing dataset in the industry compounds the recommendation and personalization advantage, lowering churn at the margin.
- **But attention competitors pay nothing for content.** YouTube and TikTok acquire hours effectively free through user generation. Netflix must pay cash for every hour — the moat is real but it is not widening.
- **Pricing power has hard limits now.** With engagement flat, each price increase is a churn experiment. The moat protects the subscriber base; it does not protect ARPU growth.

Free-cash-flow margin — reported history



5 Valuation — 10-year scenario DCF, Fair Value \$48

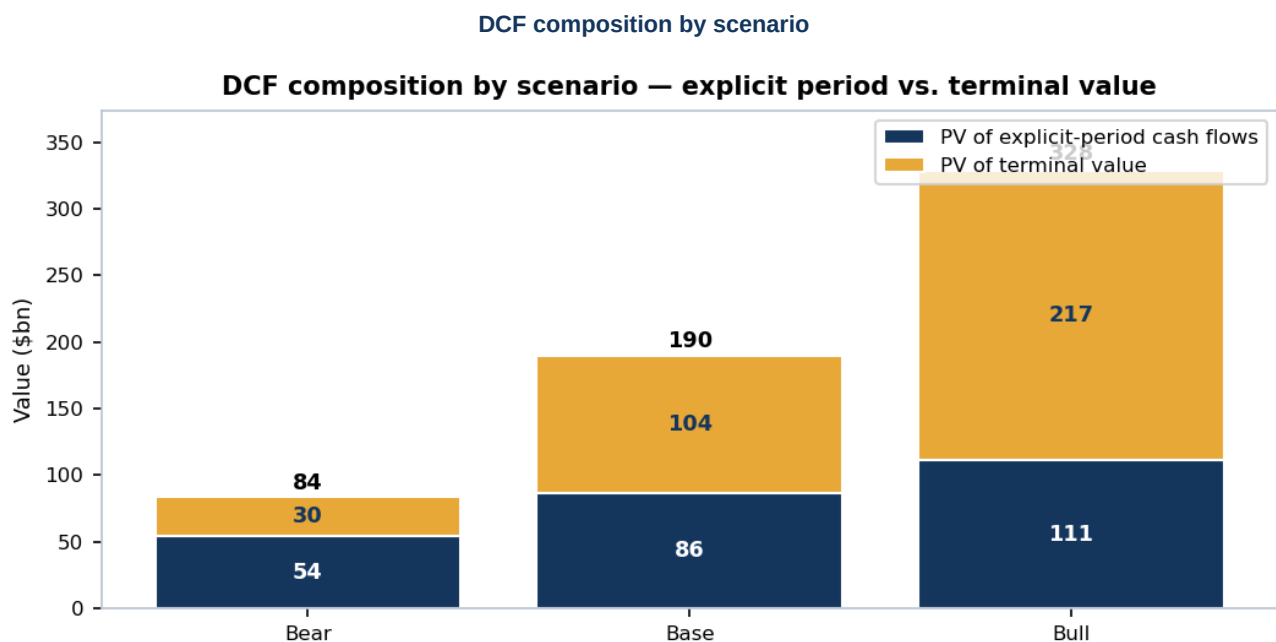
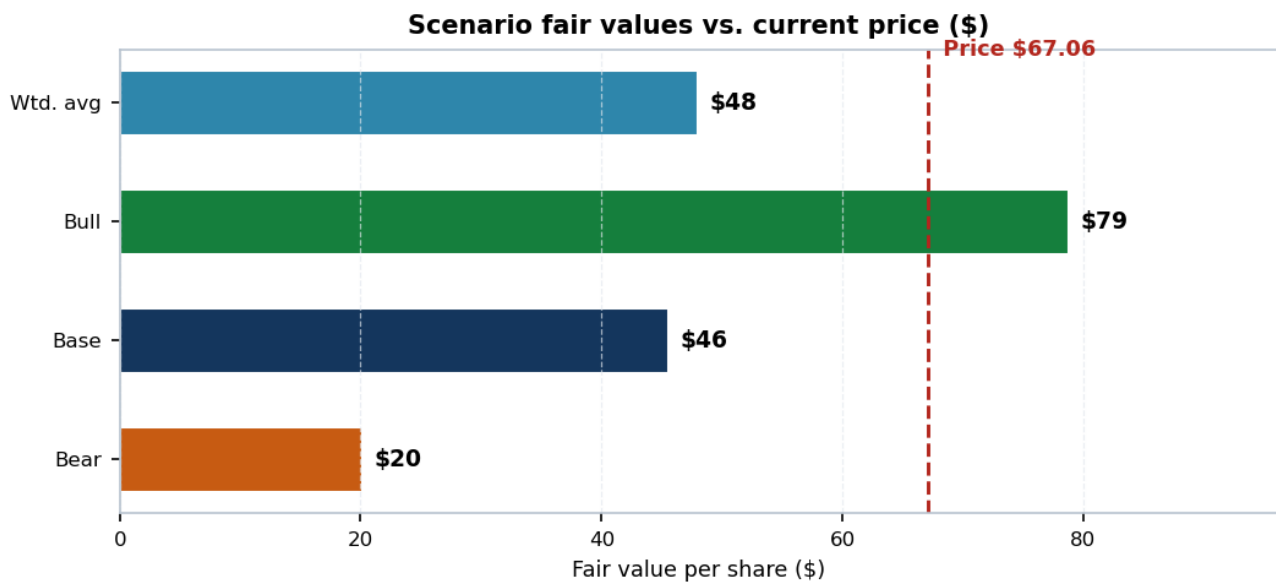
We value Netflix on a 10-year scenario DCF at a 10% base discount rate, weighted 25% / 50% / 25%. The bear case (12.5% discount) assumes revenue growth stalls near 3%, engagement declines as price hikes drive churn and piracy, and FCF margins compress to the mid-teens. The base case compounds revenue at 6.0% annually off a normalized 2026 free cash flow of \$10.3 billion — the one-time \$2.8 billion Warner Bros. Discovery termination fee stripped out, since it does not recur — with terminal value computed on normalized 23% free-cash-flow margins, deliberately not peak margins. The bull case (8.5% discount) assumes the ad tier scales with accretive ARPU, pricing power holds without churn, and margins expand.

The scenario fair values are \$20.14 (bear) / \$45.57 (base) / \$78.79 (bull), weighting to \$47.52 — our \$48.00 target, 28% below the \$67.06 close. Note the skew: even the bull case barely clears the current price, while the bear case implies a two-thirds loss. Terminal value is 36–66% of equity value across scenarios, disclosed here.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Revenue growth stalls near 3%; engagement declines as price hikes drive churn and piracy; FCF margins compress to the mid-teens; 12.5% discount rate.	+3.0%	15%	12.5% / 2.5%	36%	\$20.14
Base	6.0% revenue CAGR; normalized 2026 FCF of \$10.3B (one-time WBD fee stripped out); 10% discount rate; terminal value on normalized 23% FCF margins.	+6.0%	23%	10.0% / 2.5%	55%	\$45.57
Bull	Ad tier scales with accretive ARPU; pricing power holds without churn; margins expand toward 28%; 8.5% discount rate.	+9.0%	28%	8.5% / 2.5%	66%	\$78.79
Wtd. avg	Probability-weighted (25/50/25) → \$48.00 target					\$48.00

Composition (PV of explicit-period cash flows vs. terminal value) is derived from each scenario's stated parameters — 10-year horizon, scenario discount rate, 2.5% terminal growth, revenue CAGR and year-10 FCF margin — and sums to the scenario fair value at 4.164 bn shares outstanding.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Engagement deterioration.** If view hours decline outright, the pricing-power thesis collapses and churn accelerates.
- **Content amortization judgment.** The \$33.8 billion content asset balance rests on management's amortization schedules; faster write-downs would reveal lower true margins.
- **Free attention platforms.** YouTube and TikTok compete for leisure hours without bearing content cash costs.
- **Ad-market cyclicality.** A recession would hit the ad tier just as it becomes material to growth.
- **Currency headwinds.** A majority of members are outside the US; dollar strength mechanically depresses reported growth.
- **Regulatory risk.** Content quotas, taxation of digital services, and data rules across 190+ jurisdictions.

What would change our mind

Sustained double-digit view-hour growth on a rising content budget would be evidence the marginal content dollar is working again — the single fact that would most directly challenge this note. A price-increase cycle with no measurable uptick in churn would prove genuine pricing power on flat engagement. Free-cash-flow conversion structurally above 60% of operating income for two consecutive years would support a higher through-cycle margin assumption. And the ad tier demonstrating accretive blended ARPU — rather than cannibalization of full-price plans — would reopen the growth case. Absent those, the SELL stands: we watch reported view hours versus content spend, churn around price increases, the content-asset balance versus amortization, and ad-tier ARPU mix.

7 Methodology

We value Netflix on a 10-year scenario discounted-cash-flow framework, probability-weighted 25% / 50% / 25%. The base discount rate is 10%, reflecting a standard operating company with a strong franchise but maturing growth; the bear case adds 250 basis points (12.5%) and the bull case subtracts 150 basis points (8.5%, above the 8% floor). Terminal growth is 2.5%, applied to normalized mid-cycle free-cash-flow margins — never peak margins.

Two normalizations are load-bearing. First, 2026 free cash flow is set at \$10.3 billion, stripping out the one-time \$2.8 billion Warner Bros. Discovery termination fee, since it does not recur. Second, the valuation is built on cash flow, not reported earnings, because the \$33.8 billion capitalized content asset is amortized on judgmental schedules. The bear case is required to be genuinely adverse and to sit below the current price — at \$20.14, it does.

We cross-check the DCF against trading multiples and reverse-DCF implied growth. The published target is the probability-weighted fair value, stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; Medium here reflects a cash-generative franchise whose price embeds growth the engagement data no longer supports.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.